

# **KURWITU VENTURES LIMITED**

## **FINANCIAL STATEMENTS**

### **FOR THE YEAR ENDED 31ST DECEMBER 2014**

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#### **REPORT OF THE DIRECTORS**

The directors submit their report for the year ended 31<sup>st</sup> December 2014.

1. **PRINCIPAL ACTIVITY**

The principal activity of the company is to provide sharia compliant investment products. Sharia compliant investment products are products that meet the requirements of the Sharia law and the principles articulated for Islamic finance.

An example of the sharia compliant investment product that Kurwitu ventures is offering is the sukuk securities (Islamic Bond). Sukuk securities are structured to comply with the Islamic investment principles which prohibit the charging and paying of interest. Sukuk structuring is done by attaching real asset and the holder of the sukuk instrument gets his return as a form rent or profit sharing.

2. **BACKGROUND**

Kurwitu Ventures was incorporated as private limited liability company on the 8th September 2006 and was issued with a certificate of Incorporation (C.128146). The original Share Capital was One hundred thousand (100,000) shares of shillings one hundred (100) each. At incorporation, the Registered Office was L.R 209/2527/4, Muindi Mbingu Street, Kantaria House.

The company was originally formed to provide Investment Consulting Services but in 2012, the Board of Directors decided to review the strategic plan of the company, which resulted in the injection of fresh capital into the company and change of strategic focus to become a vehicle for Sharia Compliant Investments.

In 2013 the Board of Directors decided to focus on restructuring the company and prepare it for a listing on the Nairobi Securities Exchange. Hence all effort was invested in the restructuring process and no revenue was posted to the company books in the year 2013 and 2014.

The company listed on the Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange on 13th November 2014

# **KURWITU VENTURES LIMITED**

## **FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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### **REPORT OF THE DIRECTORS**

3. **RESULTS**

The results for the Company are set out on pages 7 of this report.

4. **DIVIDENDS**

The directors do not recommend payment of any dividend for this year.

5. **DIRECTORS**

The directors who served during the year were:

- Mr. Abdirahman Abdillahi (Since Incorporation 8/9/2006)
- Mr. Mohammed A. Hassan (Since Incorporation 8/9/2006)
- Mr. Abdikadir H Mohamed (Joined 13/11/2013)
- Mr. Isaak Jamal Ibrahim (Joined 3/3/2014)
- Mrs. Sumayya Hassan (Joined 3/3/2014)
- Mr. Abdulkadir M Haji (Joined 13/11/2013)

6. **AUDITORS**

**Obwanga and Associates**, Certified Public Accountants (K), have expressed their willingness to continue in office in accordance with Section 159 (2) of the Companies Act.

**BY ORDER OF THE BOARD**

**SECRETARY .....**

**DATE .....**

## **KURWITU VENTURES LIMITED**

### **FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2014**

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#### **CORPORATE INFORMATION**

1. **COMPANY SECRETARY**

Morris Irungu Kariuki  
Certified Public Secretaries  
P.O BOX 100803-00101 Nairobi , Kenya.  
Physical Address: African Alliance YMCA Ground Floor State House  
Crescent Road.

2. **LEGAL ADVISOR**

Mahmoud and Gitau Advocates  
P.O BOX 100803-00101 Nairobi , Kenya.  
Physical Address: African Alliance YMCA Ground Floor State House  
Crescent Road.

3. **PRINCIPAL BANKER**

CFC Stanbic Bank  
P.O BOX 30550-00100 Nairobi, Kenya.  
Physical Address: CFCSTANBIC Centre, Chiromo Road Westlands.

4. **AUDITORS**

Obwanga and Associates  
Certified Public Accountants of Kenya.  
P.O BOX 7370-00200, Nairobi, Kenya.  
Physical Address: Karen Triangle Estate ,House No.1, Karen Road .

5. **REGISTERED OFFICE**

Kurwitu Ventures  
P.O BOX 105028-00101, Nairobi, Kenya.  
Woodland Office Park, Suite 2B, Woodlands Road, Hurlingham.

## **KURWITU VENTURES LIMITED**

### **FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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#### **STATEMENT OF DIRECTORS' RESPONSIBILITIES**

The Kenyan Companies Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company as at the end of the financial year and of its Profit or Loss. It also requires the Directors to ensure that the company keeps proper accounting records that disclose with reasonable accuracy, the financial position of the Company. They are also responsible for safeguarding the assets of the Company.

The Directors accept the responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with the International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Company and of its Loss. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of the financial statements that are free from material misstatements.

Nothing has come to the attention of the Directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

**DIRECTOR .....****DIRECTOR.....**

**DATE .....**

# OBWANGA AND ASSOCIATES

Certified Public Accountants (k)

Karen Road

Karen Triangle Estate

P.O Box 7370- 00200

Nairobi

E-mail:odira@obwangaandassociates.co.ke

Tel. 0720-700670



Oginga Odinga Street

Jethwa House 1<sup>st</sup> Floor

Kisumu

Tel. 0724 – 874 491

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## **REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF KURWITU VENTURES LIMITED FOR THE YEAR ENDED 31ST DECEMBER 2014**

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### **Report on the Financial Statements**

We have audited the accompanying financial statements of **KURWITU VENTURES LIMITED** set out on pages 7 to 20 which comprise the statement of financial position as at 31<sup>st</sup> December 2014, and the income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

### **Directors' Responsibility for the Financial Statements**

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirement of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies and making accounting estimates that are reasonable in the circumstances.

### **Auditors' Responsibility**

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

## **KURWITU VENTURES LIMITED**

### **REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF KURWITU VENTURES LTD (Cont'd)**

In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls.

An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

#### **Opinion**

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31<sup>st</sup> December 2014 and of its profit/(loss) and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act (Cap 486).

#### **Report on other Legal Requirements**

As required by the Kenyan Companies Act, we report to you based on our audit, that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
- ii) In our opinion proper books of account have been kept by the company, so far as appears from our examination of those books and,
- iii) The company's balance sheet and income statement are in agreement with the books of account.

*The engagement partner responsible for the audit resulting in this independent auditor's report is*  
**CPA SAMSON ODOYO OBWANGA-P/NO 1653.**

**OBWANGA AND ASSOCIATES**  
**CERTIFIED PUBLIC ACCOUNTANTS (K)**

DATE: .....

**KURWITU VENTURES LIMITED**

**FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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**STATEMENT OF COMPREHENSIVE INCOME**

|                                              | NOTES | 2014<br>KSHS       | 2013<br>KSHS     |
|----------------------------------------------|-------|--------------------|------------------|
| <b><u>Income</u></b>                         |       |                    |                  |
| Income                                       |       | -                  | -                |
|                                              |       | <hr/>              | <hr/>            |
| <b><u>Other Income</u></b>                   |       |                    |                  |
| Profit / (Loss) on Disposal of Motor Vehicle |       | -                  | (274,219)        |
|                                              |       | <hr/>              | <hr/>            |
| <b>Total Income</b>                          |       | <b>-</b>           | <b>(274,219)</b> |
|                                              |       | <hr/>              | <hr/>            |
| Total Expenditure                            | 5     | (8,122,883)        | (884,161)        |
|                                              |       | <hr/>              | <hr/>            |
| Operating Profit /(Loss)                     |       | (8,122,883)        | (1,158,380)      |
|                                              |       | <hr/>              | <hr/>            |
| Profit/(Loss) before Tax                     |       | (8,122,883)        | (1,164,880)      |
| Deferred Tax (Current Tax)                   | 9     | 2,436,865          | 349,464          |
|                                              |       | <hr/>              | <hr/>            |
| <b>Profit/(Loss) after Tax</b>               |       | <b>(5,686,018)</b> | <b>(815,416)</b> |
|                                              |       | <hr/> <hr/>        | <hr/> <hr/>      |

**KURWITU VENTURES LIMITED****STATEMENT OF FINANCIAL POSITION AS AT 31<sup>st</sup> DECEMBER 2014**

|                                     | NOTES | 2014<br>KSHS                       | 2013<br>KSHS                       |
|-------------------------------------|-------|------------------------------------|------------------------------------|
| <b>ASSETS</b>                       |       |                                    |                                    |
| <b><u>Non Current Assets</u></b>    |       |                                    |                                    |
| Property, Plant and Equipment       | 10    | 3,033,959                          | 118,218                            |
| Free Hold Land                      | 11    | 102,000,000                        | 102,000,000                        |
|                                     |       | <u>105,033,959</u>                 | <u>102,118,218</u>                 |
| <b><u>Current Assets</u></b>        |       |                                    |                                    |
| Bank & Cash Balances                | 12    | 12,167,208                         | 5,031,618                          |
| Trade & Other Receivables           | 13    | 689,130                            | -                                  |
| Deferred Tax Asset                  | 14    | 2,786,329                          | 349,464                            |
|                                     |       | <u>15,642,667</u>                  | <u>5,381,082</u>                   |
| <b>Total Assets</b>                 |       | <b><u>120,676,626</u></b><br>===== | <b><u>107,499,300</u></b><br>===== |
| <b>EQUITY AND LIABILITIES</b>       |       |                                    |                                    |
| <b><u>Equity</u></b>                |       |                                    |                                    |
| Share Capital                       | 15    | 10,227,200                         | 7,840,000                          |
| Share Premium Account               | 16    | 99,692,870                         | 97,080,070                         |
| Retained Earnings                   |       | (3,177,199)                        | 2,508,819                          |
|                                     |       | <u>106,742,871</u>                 | <u>107,428,889</u>                 |
| <b><u>Long Term Liabilities</u></b> |       |                                    |                                    |
| Shareholders Loan                   | 17    | 12,788,700                         | -                                  |
| <b>CURRENT LIABILITIES</b>          |       |                                    |                                    |
| Trade and Other Payables            | 18    | 1,145,055                          | 70,411                             |
| <b>Total Equity and Liabilities</b> |       | <b><u>120,676,626</u></b><br>===== | <b><u>107,499,300</u></b><br>===== |

The financial statements on pages 7 to 20 were approved by the Board of Directors  
on .....2015 and signed on its behalf

by: DIRECTOR..... DIRECTOR.....



**KURWITU VENTURES LIMITED****FINANCIAL STATEMENTS****FOR THE YEAR ENDED 31ST DECEMBER 2014**

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**STATEMENT OF CHANGES IN EQUITY**

|                                       | SHARE<br>CAPITAL  | SHARE<br>PREMIUM  | RETAINED<br>EARNINGS | TOTAL              |
|---------------------------------------|-------------------|-------------------|----------------------|--------------------|
|                                       | KSHS              | KSHS              | KSHS                 | KSHS               |
| <b><u>Year 2014</u></b>               |                   |                   |                      |                    |
| Balance as at 1 Jan 2014              | 7,840,000         | 97,080,070        | 2,508,819            | 107,428,889        |
| Issue of Shares                       | 2,387,200         | -                 | -                    | 2,387,200          |
| Issue of Cash                         | -                 | 2,612,800         | -                    | 2,612,800          |
| Total Comprehensive Loss              | -                 | -                 | (5,686,018)          | (5,686,018)        |
|                                       | -----             | -----             | -----                | -----              |
| <b>As at 31<sup>st</sup> Dec 2014</b> | <b>10,227,200</b> | <b>99,692,870</b> | <b>(3,177,199)</b>   | <b>106,742,871</b> |
|                                       | =====             | =====             | =====                | =====              |
| <b><u>Year 2013</u></b>               |                   |                   |                      |                    |
| Balance as at 1 Jan 2013              | 100,000           | -                 | 3,324,235            | 3,424,235          |
| Issue of Shares                       | 7,740,000         | -                 | -                    | 7,740,000          |
| Transfer to Share Premium             | -                 | 97,080,070        | -                    | 97,080,070         |
| Total Comprehensive Loss              | -                 | -                 | (815,416)            | (815,416)          |
|                                       | -----             | -----             | -----                | -----              |
| <b>As at 31<sup>st</sup> Dec 2013</b> | <b>7,840,000</b>  | <b>97,080,070</b> | <b>2,508,819</b>     | <b>107,428,889</b> |
|                                       | =====             | =====             | =====                | =====              |

**KURWITU VENTURES LIMITED****FINANCIAL STATEMENTS****FOR THE YEAR ENDED 31ST DECEMBER 2014****STATEMENT OF CASH FLOWS**

|                                                    | <b>2014<br/>KSHS</b> | <b>2013<br/>KSHS</b> |
|----------------------------------------------------|----------------------|----------------------|
| <b><u>Operating Activities</u></b>                 |                      |                      |
| Profit /(Loss) Before Tax                          | (8,122,883)          | (1,164,880)          |
| <b>Adjusted for:</b>                               |                      |                      |
| Depreciation                                       | 444,324              | 22,461               |
| Loss on Disposal of Motor Vehicle                  | -                    | 274,219              |
| Profit Before Working Capital Changes              | <b>(7,678,559)</b>   | <b>(868,200)</b>     |
| <b><u>Changes in Working Capital</u></b>           |                      |                      |
| Decrease (Increase) in Trade and Other Receivables | (689,130)            | 3,374,181            |
| Increase (Decrease) in Trade and Other Payables    | 1,074,644            | (344,588)            |
| Income Tax Paid / Withheld                         | -                    | (22,295)             |
| Net Cash Generated from Operating Activities       | <b>(7,293,045)</b>   | <b>2,139,098</b>     |
| <b><u>Investing Activities</u></b>                 |                      |                      |
| Purchase of Fixed Assets                           | (3,360,065)          | (102,000,000)        |
| Net Cash Used in Investing Activities              | <b>(3,360,065)</b>   | <b>(102,000,000)</b> |
| <b><u>Financing Activities</u></b>                 |                      |                      |
| Proceeds from Share Premium                        | 2,612,800            | 97,080,070           |
| Proceeds from Issue of Shares                      | 2,387,200            | 7,740,000            |
| Proceeds from Share Holders Loan                   | 12,788,700           | -                    |
|                                                    | <b>17,788,700</b>    | <b>104,820,070</b>   |
| Net Changes in Cash and Cash Equivalents           | 7,135,590            | 4,959,168            |
| Cash and Cash Equivalent at the beginning          | 5,031,618            | 72,450               |
| <b>Cash and Cash Equivalent 31st Dec</b>           | <b>12,167,208</b>    | <b>5,031,618</b>     |
|                                                    | =====                | =====                |

# KURWITU VENTURES LIMITED

## FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST DECEMBER 2014

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### NOTES TO THE FINANCIAL STATEMENTS

#### 1. ACCOUNTING POLICIES

##### **Statement of Compliance**

The financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS).

##### **Basis of Preparation**

The financial statements are prepared under the historical cost convention as modified by the revaluation of certain assets. The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous year and are set out below:

##### **Foreign Currency Translation**

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies during the year are translated at the rates ruling at the dates of the transactions. The resulting gains and losses are dealt with in the income statement.

##### **Property, Plant and Equipment**

All property, plant and equipment are initially recorded at cost. Buildings, plant, machinery, furniture and fittings are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment are stated at historical cost less depreciation and any accumulated impairment losses.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the income statement.

Each year, excess depreciation representing the additional depreciation following revaluations of property, plant and equipment over depreciation based on historical, is transferred from revaluation surplus to revenue reserve.

Depreciation is calculated on a reducing balance basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

|                                          |       |
|------------------------------------------|-------|
| Motor Vehicles                           | 25%   |
| Furniture, Fittings and Office Equipment | 12.5% |
| Computers                                | 30%   |

## **KURWITU VENTURES LIMITED**

### **FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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#### **NOTES TO THE FINANCIAL STATEMENTS (continued)**

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount. Gains and losses on the disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. Upon the disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to revenue reserves.

##### **Leasehold Land**

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortized over the periods of the lease.

##### **Investment Property**

Investment property is treated as long term investment and carried at market value for existing use as determined regularly by external independent valuers. Investment property is not subject to depreciation. Changes in the carrying amount are dealt with in the income statement.

Upon the disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the income statement.

##### **Leases**

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases. Rental income from operating leases is recognized on a straight line basis over the term of the relevant leases. Rental payable under operating leases are charged to income on a straight line basis over the term of the relevant lease.

Assets held under finance leases are recognized as assets of the company at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the balance sheet as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

##### **Financial Instruments**

Financial assets and financial liabilities are recognized on the company's balance sheet when the company becomes a party to the contractual provisions of the instruments.

# **KURWITU VENTURES LIMITED**

## **FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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### **NOTES TO THE FINANCIAL STATEMENTS (continued)**

#### **Trade Receivables**

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts.

#### **Trade Payables**

Trade payables are stated at their nominal value.

#### **Cash and Cash Equivalents**

For the purpose of the cash flow statement, cash equivalents include short liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the banks repayable within three months from the dates of advance.

#### **Taxation**

The income tax expense represents the sum of the current tax payable and the deferred taxation. Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

#### **Retirement benefit obligations**

The company contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Kshs. 200 per month per employee. The company's contributions are charged to the income statement in the year to which they relate.

## **2. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY**

In the process of applying the company's accounting policies management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities within the next financial year. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

## **KURWITU VENTURES LIMITED**

### **FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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#### **NOTES TO THE FINANCIAL STATEMENTS (continued)**

##### **Key sources of estimation uncertainty**

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date that has a significant risk of causing material adjustment to the carrying amounts of assets and liabilities within the next financial year.

##### **Property, Plant and Equipment**

Critical estimates are made by the directors in determining depreciation rates of property, plant and equipment and whether assets are impaired.

##### **Impairment**

At each balance sheet date, the company reviews the carrying amounts of its tangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

##### **Provisions and Contingent Liabilities**

The company reviews its obligations at each balance sheet date to determine whether provisions need to be made and if there are any contingent liabilities.

#### **3. CAPITAL MANAGEMENT**

The Directors of the company manage the financial affairs with a view to maintaining reasonable liquidity to meet all operating expenses for major long term investments result to the Banking facilities has been made.

#### **4. RISK MANAGEMENT**

##### **Credit Risk**

Credit risk is a major factor especially because of the Company's age in the market and limited market share. The Company has to depend on Loans from Directors and Amounts from issue of shares.

##### **Interest Rate Risks**

Reliable overdraft and loan facilities are limited. Interest rate risks are prevalent as the rate fluctuates from time to time. The market rates are affected by the International Financial market conditions and during credit crunch, the interest rates become uncontrollable.

**KURWITU VENTURES LIMITED**

**FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31ST DECEMBER 2014**

**NOTES TO THE FINANCIAL STATEMENTS (continued)**

|    | NOTES                           | 2014<br>KSHS     | 2013<br>KSHS   |
|----|---------------------------------|------------------|----------------|
| 5. | <b><u>Expenditure</u></b>       |                  |                |
|    | Travel and Accommodation        | 634,327          | 142,400        |
|    | Motor Vehicle Expenses          | 27,430           | -              |
|    | Rates                           | -                | 76,500         |
|    | Insurance Expenses              | 7,574            | -              |
|    | Entertainment Expenses          | 237,156          | 16,100         |
|    | Website Development             | 60,000           | -              |
|    | Advertisement and Marketing     | 277,200          | -              |
|    | Conference and Meeting Expenses | 198,768          | -              |
|    | Listing Expenses                | 744,320          | -              |
|    | Professional Fees               | 2,009,350        | 404,000        |
|    | Audit and Accounting Fees       | 80,000           | 40,000         |
|    | Newspapers and Periodicals      | 9,760            | -              |
|    | Postage & Telephone             | 163,500          | 34,700         |
|    | Internet and Computer Expenses  | 48,894           | -              |
|    | Printing & Stationery           | 69,270           | -              |
|    | Rent and Rates                  | 1,015,101        | 132,000        |
|    | Utilities                       | 29,120           | 16,000         |
|    | Legal Fees                      | 191,000          | -              |
|    | Medical Fees                    | 645,575          | -              |
|    | Office Expenses                 | 120,159          | -              |
|    | Staff Costs                     | 194,668          | -              |
|    | Directors Remuneration          | 900,000          | -              |
|    | Depreciation Expense            | 444,324          | 22,461         |
|    | Bank Charges                    | 15,387           | 6,500          |
|    | <b>Total Expenditure</b>        | <b>8,122,883</b> | <b>890,661</b> |
|    |                                 | =====            | =====          |

**KURWITU VENTURES LIMITED**

**FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31ST DECEMBER 2014**

**NOTES TO THE FINANCIAL STATEMENTS (continued)**

|    | NOTES                                                                                                          | 2014<br>KSHS       | 2013<br>KSHS       |
|----|----------------------------------------------------------------------------------------------------------------|--------------------|--------------------|
| 6. | <b><u>Staff Costs</u></b>                                                                                      |                    |                    |
|    | Salaries and Wages                                                                                             | 146,585            | -                  |
|    | National Social Security Fund Contributions                                                                    | 1,600              | -                  |
|    | Staff Training                                                                                                 | 46,483             | -                  |
|    |                                                                                                                | <u>194,668</u>     | <u>-</u>           |
|    |                                                                                                                | =====              | =====              |
| 7. | <b><u>Directors Remuneration</u></b>                                                                           |                    |                    |
|    | Directors Remuneration                                                                                         | 900,000            | -                  |
|    |                                                                                                                | =====              | =====              |
|    | Directors Remuneration are fees for services offered by the executive director to the Company during the year. |                    |                    |
| 8. | <b><u>Profit (Loss) Before Taxation</u></b>                                                                    |                    |                    |
|    | Profit (Loss) before tax is stated after charging:                                                             |                    |                    |
|    | Audit and Accounting Fees                                                                                      | 80,000             | 40,000             |
|    | Depreciation                                                                                                   | 444,324            | 22,461             |
|    | Staff Costs 6.                                                                                                 | 194,668            | -                  |
|    | Directors Remuneration 7.                                                                                      | 900,000            | -                  |
|    |                                                                                                                | <u>1,618,992</u>   | <u>62,461</u>      |
|    |                                                                                                                | =====              | =====              |
| 9. | <b><u>Taxation</u></b>                                                                                         |                    |                    |
|    | Represents 30% of the loss incurred or taxable profit realized.                                                |                    |                    |
|    | <b><u>Current Tax Computation</u></b>                                                                          |                    |                    |
|    | Net Profit / (Loss) as per account                                                                             | (8,122,883)        | (1,164,880)        |
|    | <b>Add Back:</b>                                                                                               |                    |                    |
|    | Depreciation                                                                                                   | 444,324            | 22,461             |
|    |                                                                                                                | <u>(7,678,559)</u> | <u>(1,142,419)</u> |
|    | <b>Less:</b>                                                                                                   |                    |                    |
|    | Wear and Tear Allowance                                                                                        | (444,324)          | (22,461)           |
|    | Taxable Profit /(Loss) for the year                                                                            | <u>(8,122,883)</u> | <u>(1,164,880)</u> |
|    | <b>Current Tax Charge (Credit) @ 30%</b>                                                                       | <u>(2,436,865)</u> | <u>(349,464)</u>   |
|    |                                                                                                                | =====              | =====              |



**KURWITU VENTURES LIMITED**

**FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31ST DECEMBER 2014**

**NOTES TO THE FINANCIAL STATEMENTS (continued)**

**10. NON CURRENT ASSETS**

| <b>COST</b>           | <b>Motor Vehicle</b> | <b>Computers</b> | <b>Furniture Fittings.</b> | <b>Total</b>     |
|-----------------------|----------------------|------------------|----------------------------|------------------|
| <b><u>2014</u></b>    | <b>Kshs</b>          | <b>Kshs</b>      | <b>Kshs</b>                | <b>Kshs</b>      |
| As at 1.01.2014       | -                    | 81,240           | 168,400                    | 249,640          |
| Additions             | 200,000              | 35,000           | 3,125,065                  | 3,360,065        |
| As at 31.12.2014      | 200,000              | 116,240          | 3,293,465                  | 3,609,705        |
| <b>DEPRECIATION</b>   |                      |                  |                            |                  |
| As at 1.01.2014       | -                    | 61,734           | 69,688                     | 131,422          |
| Charge for the year   | 25,000               | 16,352           | 402,972                    | 444,324          |
|                       | 25,000               | 78,086           | 472,660                    | 575,746          |
| <b>NET BOOK VALUE</b> |                      |                  |                            |                  |
| As at 31.12.2014      | <b>175,000</b>       | <b>38,154</b>    | <b>2,820,805</b>           | <b>3,033,959</b> |
|                       | =====                | =====            | =====                      | =====            |
| <b><u>2013</u></b>    |                      |                  |                            |                  |
| As at 1.01.2013       | 650,000              | 81,240           | 168,400                    | 899,640          |
| Additions             | -                    | -                | -                          | -                |
| Disposals             | (650,000)            | -                | -                          | (650,000)        |
| As at 31.12.2013      | -                    | 81,240           | 168,400                    | 249,640          |
| <b>DEPRECIATION</b>   |                      |                  |                            |                  |
| As at 1.01.2013       | 375,781              | 53,374           | 55,586                     | 484,741          |
| Charge for the year   | -                    | 8,360            | 14,102                     | 22,462           |
| Disposal              | (375,781)            | -                | -                          | (375,781)        |
|                       | -                    | 61,734           | 69,688                     | 131,422          |
| <b>NET BOOK VALUE</b> |                      |                  |                            |                  |
| As at 31.12.2013      | <b>-</b>             | <b>19,506</b>    | <b>98,712</b>              | <b>118,218</b>   |
|                       | =====                | =====            | =====                      | =====            |

# KURWITU VENTURES LIMITED

## FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST DECEMBER 2014

### NOTES TO THE FINANCIAL STATEMENTS (continued)

- |     | 2014<br>KSHS                                                                                                                                                            | 2013<br>KSHS |
|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 11. | During the year 2013, the company acquired property in Lamu: Lamu/Hindi Magongoni/599,756,782,783 and Lamu/Lake Kenyatta II /509 & 522 for a total of Kshs 102,000,000. |              |

The fair value model has been applied for the Investment Property. The company commissioned an independent quality valuer to determine the fair value of investment property on 6<sup>th</sup> September 2013 on the basis of open market value. The open market value of all properties was determined using the ruling market values. This Valuation was done by Knight Frank Valuers Ltd.

- |     |                               |                   |                  |
|-----|-------------------------------|-------------------|------------------|
| 12. | <b>Cash and Bank Balances</b> |                   |                  |
|     | CFC Stanbic Bank (Kshs)       | 9,276,909         | 3,306,062        |
|     | CFC Stanbic Bank (Usd)        | 2,889,256         | 1,725,556        |
|     | Cash in Hand                  | 1,043             | -                |
|     |                               | <u>12,167,208</u> | <u>5,031,618</u> |
|     |                               | =====             | =====            |

The Company's cash and Bank balances are held with a major Kenyan financial institution and, insofar as the directors are able to measure any credit risk to the assets, it is deemed to be limited.

The carrying amounts of the Company's cash and cash equivalents are dominated in Kenya shillings.

- |     |                                    |                |          |
|-----|------------------------------------|----------------|----------|
| 13. | <b>Trade and Other Receivables</b> |                |          |
|     | Rent Deposit                       | 647,130        | -        |
|     | Parking Deposit                    | 42,000         | -        |
|     |                                    | <u>689,130</u> | <u>-</u> |
|     |                                    | =====          | =====    |

In the opinion of the directors, the carrying amounts of trade and other receivables represent their fair value and the Company's exposure to debt is limited.

**KURWITU VENTURES LIMITED****FINANCIAL STATEMENTS****FOR THE YEAR ENDED 31ST DECEMBER 2014****NOTES TO THE FINANCIAL STATEMENTS (continued)**

|                                | <b>2014</b>        | <b>2013</b>      |
|--------------------------------|--------------------|------------------|
|                                | <b>KSHS</b>        | <b>KSHS</b>      |
| 14. <b><u>Deferred Tax</u></b> |                    |                  |
| Balance Brought Forward        | (349,464)          | 21,155           |
| Current Tax                    | (2,436,865)        | (349,464)        |
| Tax Paid                       | -                  | (21,155)         |
|                                | <u>(2,786,329)</u> | <u>(349,464)</u> |
|                                | =====              | =====            |

Deferred tax is calculated, in full, on all temporary timing differences under the liability method using a principal tax rate of 30%.

|                                    |            |            |
|------------------------------------|------------|------------|
| 15. <b><u>Share Capital</u></b>    |            |            |
| Authorized Shares 125,000@100      | 12,500,000 | 12,500,000 |
| Issued and Fully Paid 102,272 @100 | 10,227,200 | 7,840,000  |
|                                    | =====      | =====      |

The issued and paid up share capital of the group was increased during the year from 78,400 to 102,272 Shares by the issuance of 23,872 fully Paid at Shs.100 each.

|                                 |                   |                   |
|---------------------------------|-------------------|-------------------|
| 16. <b><u>Share Premium</u></b> |                   |                   |
| Balance Brought Forward         | 97,080,070        | -                 |
| Transfer to Share Premium       | -                 | 97,080,070        |
| Issue of Cash                   | 2,612,800         | -                 |
|                                 | <u>99,692,870</u> | <u>97,080,070</u> |
|                                 | =====             | =====             |

|                                     |                   |          |
|-------------------------------------|-------------------|----------|
| 17. <b><u>Shareholders Loan</u></b> |                   |          |
| Loan from Shareholders              | 12,788,700        | -        |
|                                     | <u>12,788,700</u> | <u>-</u> |
|                                     | =====             | =====    |

Shareholders Loan is interest free with no set repayment date.

**KURWITU VENTURES LIMITED**

**FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED 31ST DECEMBER 2014**

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**NOTES TO THE FINANCIAL STATEMENTS (continued)**

|                                            | <b>2014</b>      | <b>2013</b>   |
|--------------------------------------------|------------------|---------------|
|                                            | <b>KSHS</b>      | <b>KSHS</b>   |
| 18. <b><u>Trade and Other Payables</u></b> |                  |               |
| Audit and Accounting Fees                  | 80,000           | 40,000        |
| Trade Payables (Suppliers)                 | 76,894           | 30,411        |
| Directors Advances to the Company          | 988,161          | -             |
|                                            | <u>1,145,055</u> | <u>70,411</u> |
|                                            | =====            | =====         |

Trade payables are stated at their nominal value. Director's advances to the company are at no interest charge.

19. **INCORPORATION**

The company is incorporated in Kenya under the Kenyan Companies Act.

20. **CURRENCY**

The accounts are prepared in Kenya Shillings (KSHS). All foreign currency transactions have been converted into Kenya Shillings using the rate at the closing rate in accordance with International Accounting Standard No. 21.

